

Institutions and property rights



The buying and selling of goods requires property rights, and if people don't have confidence that such rights will be respected, economic activity is likely to be hampered. Analysis of the fundamental prerequisites for economic life, including these rights, is essential to understanding the creation of wealth. Property rights are what economists call an institution – a 'rule of the game' that governs the economic activities of individuals, firms and governments. These rules can be formal laws and regulations or informal social norms and customs.

Institutional economists have tended to stress the importance of property rights as essential to creating incentives to trade, to invest and to innovate. Political instability and rapacious governments damage property rights. At the same time, the rise of the state has gone with the growth of markets. So identifying the mix of institutions that brings prosperity is a difficult and as

yet uncompleted task, and what helps in one country or era may be a hindrance in others.